

Chapter Five

Consumer Behavior

Topic Outline

- Explain why marketers require a thorough understanding of consumer behaviour and its major influences
- Understand the major group factors that influence consumer behaviour
- Analyse the major individual factors that influence consumer behaviour
- Explain the general steps in the consumer decision-making process.

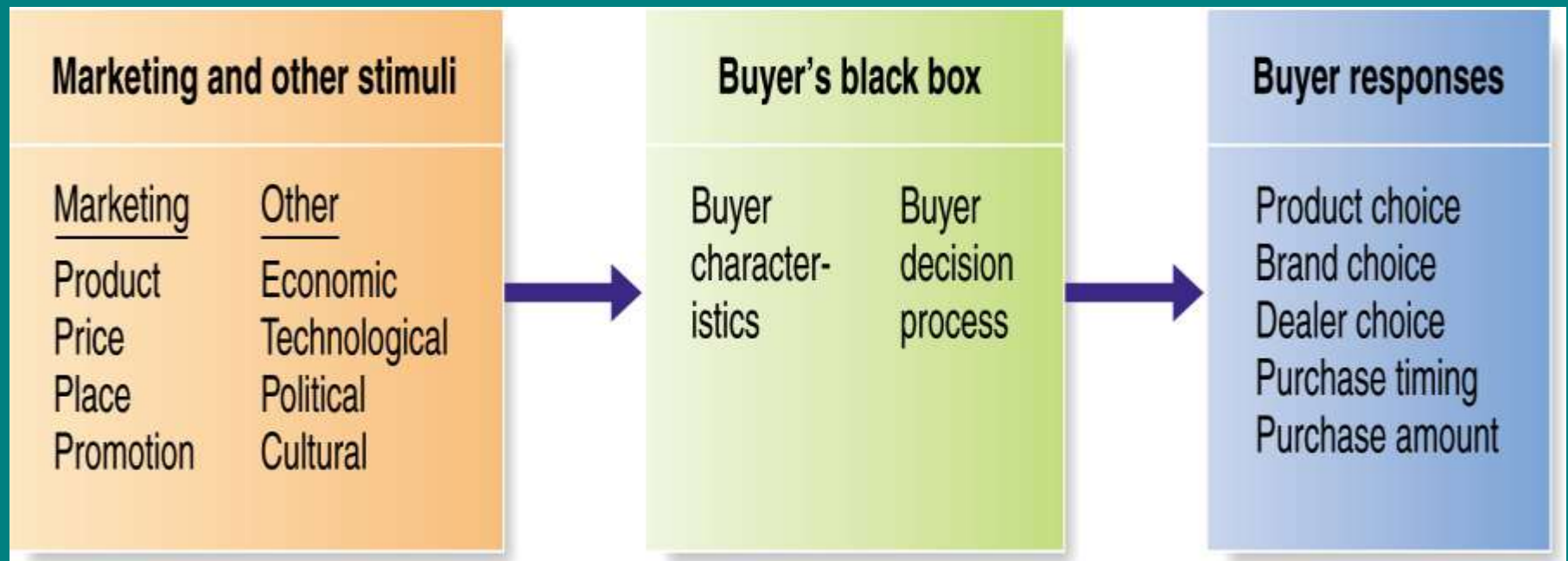
Model of Consumer Behavior

Consumer (buyer) behavior : the buying behavior of final consumers, individuals and households, who buy goods and services for personal consumption

Consumer market : all of the personal consumption of final consumers

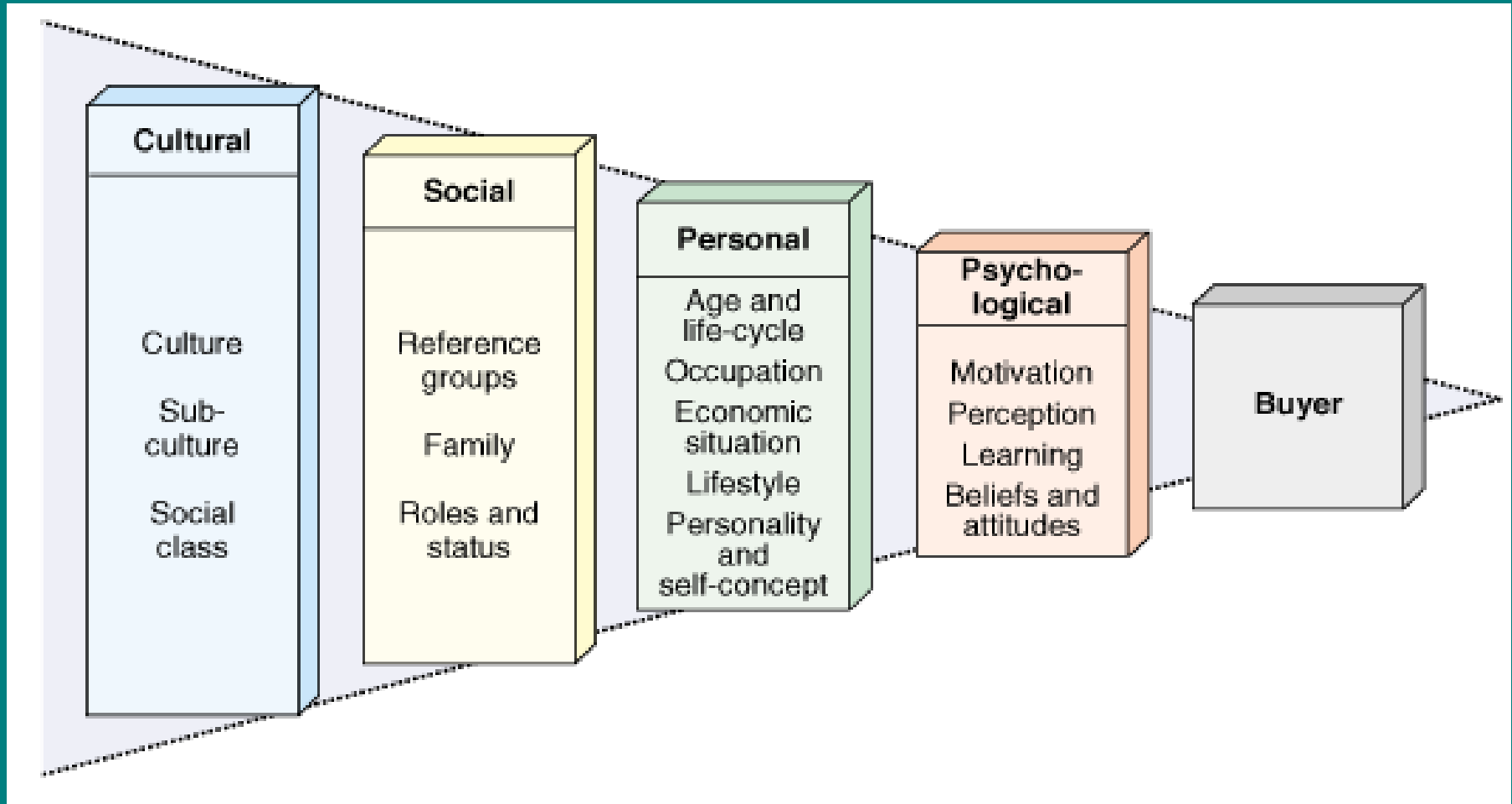
Model of Buyer Behavior

Figure 5.1



Buyers Black Box – We cannot see what people are thinking!

Factors Influencing Consumer Behavior



Characteristics Affecting Consumer Behavior

Culture is the learned values, perceptions, wants, and behavior from family and other important institutions and is the most basic cause of a person's wants and behavior

Characteristics Affecting Consumer Behavior:

Culture

- Global fast-food chain KFC acts locally to cater to different cultural requirements.



Globalization & Localization



Characteristics Affecting Consumer Behavior

Subcultures are groups of people within a culture with shared value systems based on common life experiences and situations

- Hispanic American
- African American
- Asian American
- Cross-Cultural
- **ACG subculture**



ACG subculture

"Anime, Comic and Games"

MAG

Nijigen

Otaku



Dior in Janpan

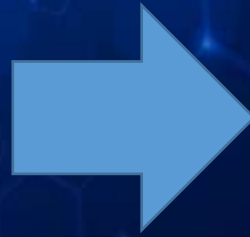
This season series carries the mystery of Japanese tradition, with Tokyo's avant-garde and modern, evening clothes mixed with Japanese clothes, sequins covered with leggings, almost anime design style.



Dior in Japan



Japan and Japanese elements, one is anime, two geisha.

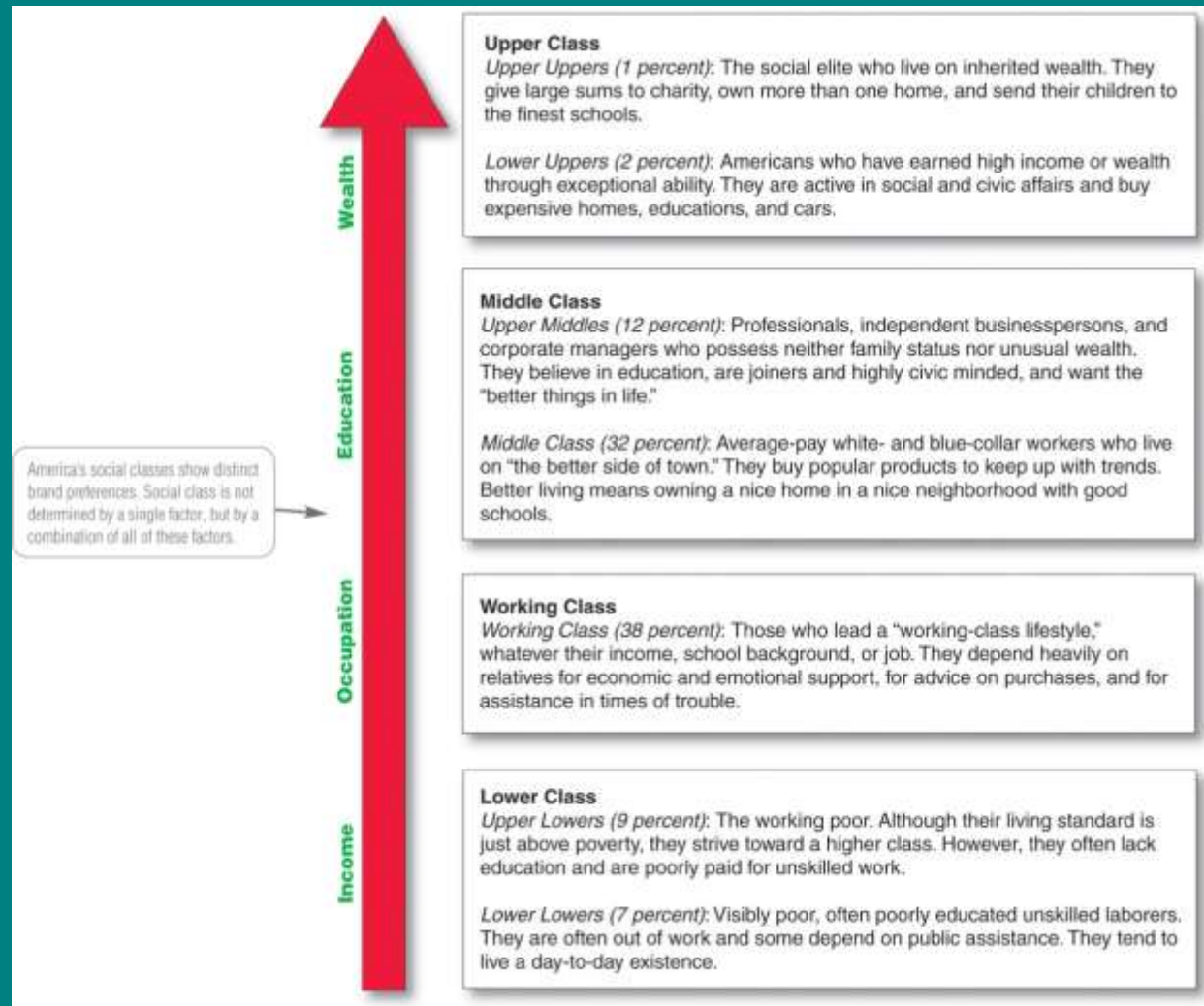


Characteristics Affecting Consumer Behavior

Social classes are society's relatively permanent and ordered divisions whose members share similar values, interests, and behaviors

- Measured by a combination of occupation, income, education, wealth, and other variables

Major American Social Classes



Characteristics Affecting Consumer Behavior

Groups and Social Networks

Membership Groups

- Groups with direct influence and to which a person belongs

Aspirational Groups

- Groups an individual wishes to belong to

Reference Groups

- Groups that form a comparison or reference in forming attitudes or behavior

Characteristics Affecting Consumer Behavior

Groups and Social Networks

- Word-of-mouth influence and buzz marketing
 - **Opinion leaders** are people within a reference group who exert social influence on others
 - Also called *influentials* or *leading adopters*
 - Marketers identify them to use as brand ambassadors



KOL

- Key opinion leader
- A person or organization who has expert product knowledge and influence in a respective field.



主页 微博 视频 故事

离双11还有一个月，@天猫国际 要给大家提前放价送福利的心已经按捺不住了！瞅了瞅此喵最近的#母婴囤货攻略#，里面好多东西都是阿金小时候用过或现在还在用的，的确都是超有排面的大牌子，品质一级赞！现在下单还能抢199-100元神仙满减券，399-40... 展开



2056 1900 365



琰琰婚礼日记

备婚狂的婚礼指南，匠心小众的干货清单，一个看多了会结婚的公众号！

63原创文章 3位朋友关注

进入公众号

取消关注

小红书

- A large number of KOLs and users
- KOLs post product evaluation or recommendation.
- Users unconsciously like, collect, comment and follow

知识、经验分享



哈鲁小甜姐

+ 关注

超全的防晒科普+好用产品推荐

为什么要防晒?

因为紫外线的UVB和UVA对皮肤的伤害极大! 简单来说:

防晒产品的使用原理

防晒成分原理主要是物理防晒和化学防晒两种:

▼ 物理防晒 ▼

防晒原理: 利用二氧化钛(TiO_2)和氧化锌(ZnO)在皮肤表面形成一层保护膜, 将紫外线反射出去, 从而达到防晒效果。属于广谱防晒。

特点: 较为温和, 对皮肤刺激很小, 但因添加了氧化锌所以大多偏油, 比较厚重, 会泛白, 价格昂贵。

常用成分: 二氧化钛、氧化锌。

产品介绍和推荐

下面来向大家最爱的安利环节!

资生堂安耐晒金瓶



防晒原理: 物化结合 主要成分: 氧化锌、OMC、奥克立林、Parsol SLX、二氧化钛、Titanium D

回应评论, 与粉丝互动

707条评论



fiona2009

只用过小金瓶、sofina、allie、碧柔。最喜欢sofina; 小金瓶防晒效果最好, 可是上脸会拔干; allie大夏天上脸还是会觉得油腻; 碧柔使用感很好, 但是乳液, 可是好像防晒效果差。还是会变黑.....

ah 2 · 回复

03-07



哈鲁小甜姐

谢谢!

ah 1 · 回复

03-07



Ginny_S800E792

Sofina 那个系列的防晒

ah 1 · 回复

03-30



葡萄大眼 5767C01E

我想去海边用安耐晒小金瓶防晒, 用碧柔身上可以吗?

ah 1 · 回复

03-06

Characteristics Affecting Consumer Behavior

Groups and Social Networks



- Online Social Networks are online communities where people socialize or exchange information and opinions
- Include blogs, social networking sites (facebook), virtual worlds (second life)

Characteristics Affecting Consumer Behavior

Social Factors

- Family is the most important consumer-buying organization in society
- Social roles and status are the groups, family, clubs, and organizations that a person belongs to that can define role and social status

Characteristics Affecting Consumer Behavior

Personal Factors

- Personal characteristics include the following:
 1. Age and life-cycle stage
 2. Occupation
 3. Economic situation
 4. Lifestyle
 5. Personality and self-concept

Characteristics Affecting Consumer Behavior

Personal Factors: Age & life-cycle

Age and life-cycle stage

- RBC Royal Bank has identified five life-stage segments:
 - **Youth—younger than 18**
 - **Getting started—18-35:** going through first experiences such as graduation, first credit card, first car, home loan
 - **Builders—35-50:** in their peak earning years, tend to borrow more than they invest
 - **Accumulators—50-60:** worry about saving for retirement and invest wisely
 - **Preservers—over 60:** want to maximise their retirement income to maintain a desired lifestyle.

Characteristics Affecting Consumer Behavior

Personal Factors

Occupation affects the goods and services bought by consumers

Economic situation includes trends in:

Personal
income

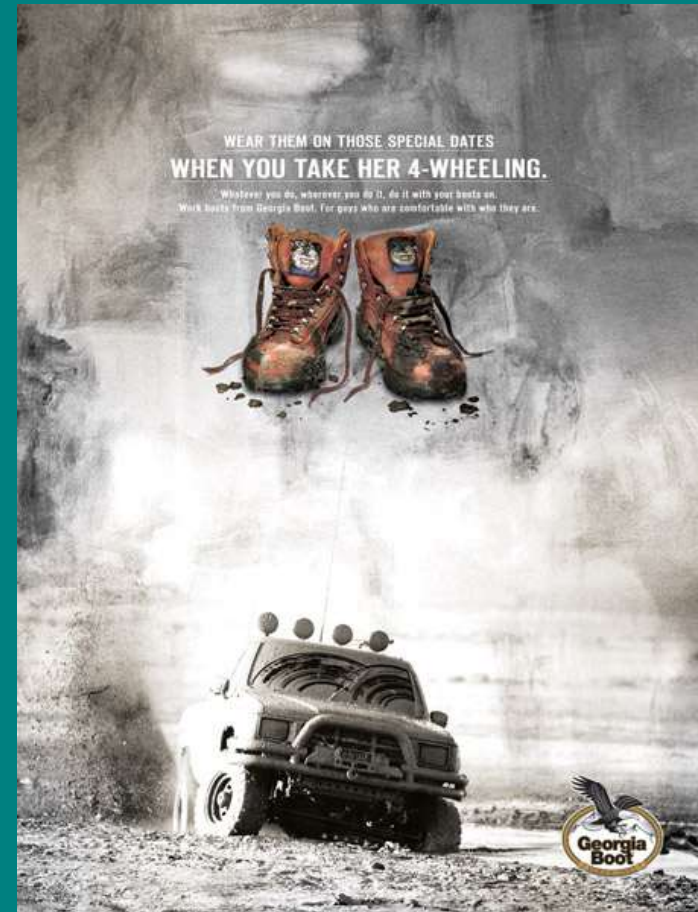
Savings

Interest
rates

Characteristics Affecting Consumer Behavior

Personal Factors

- Lifestyle** is a person's pattern of living as expressed in his or her psychographics
- Measures a consumer's AIOs (activities, interests, opinions) to capture information about a person's pattern of acting and interacting in the environment



Characteristics Affecting Consumer Behavior

Personal Factors: Lifestyle

- Class exercise: Watch the following video on the new Windows phone and identify what type of lifestyle this product is appealing to?



Characteristics Affecting Consumer Behavior

Personal Factors: Personality & Self-Concept

- **Personality** refers to the unique psychological characteristics that lead to consistent and lasting responses to the consumer's environment
- Brand personality refers to the specific mix of human traits that may be attributed to a particular brand
 - Sincerity (down-to-earth, honest, wholesome, cheerful)
 - Excitement (daring, spirited, imaginative, up-to-date)
 - Competence (reliable, intelligent, and successful)
 - Sophistication (upper class and charming)
 - Ruggedness (outdoorsy and tough)

力士



施华蔻



SCHWARZKOPF



伊卡璐



CIATROL



清扬



CLEAR



- Products play a key role in defining the self-concept.



We are in BI Business School



SILC国际部

Characteristics Affecting Consumer Behavior

Personal Factors: Personality & Self-Concept

- **Class exercise:** Watch the following video by Cars what brand personality is portrayed through this advertisement. Choose from one of the following:
 - Sincerity (down-to-earth, honest, wholesome, cheerful)
 - Excitement (daring, spirited, imaginative, up-to-date)
 - Competence (reliable, intelligent, and successful)
 - Sophistication (upper class and charming)
 - Ruggedness (outdoorsy and tough)

Characteristics Affecting Consumer Behavior

**Personal
Factors**

Dominance

Autonomy

Defensiveness

Adaptability

Aggressiveness

Characteristics Affecting Consumer Behavior

Psychological Factors

Motivation

Perception

Learning

Beliefs and attitudes



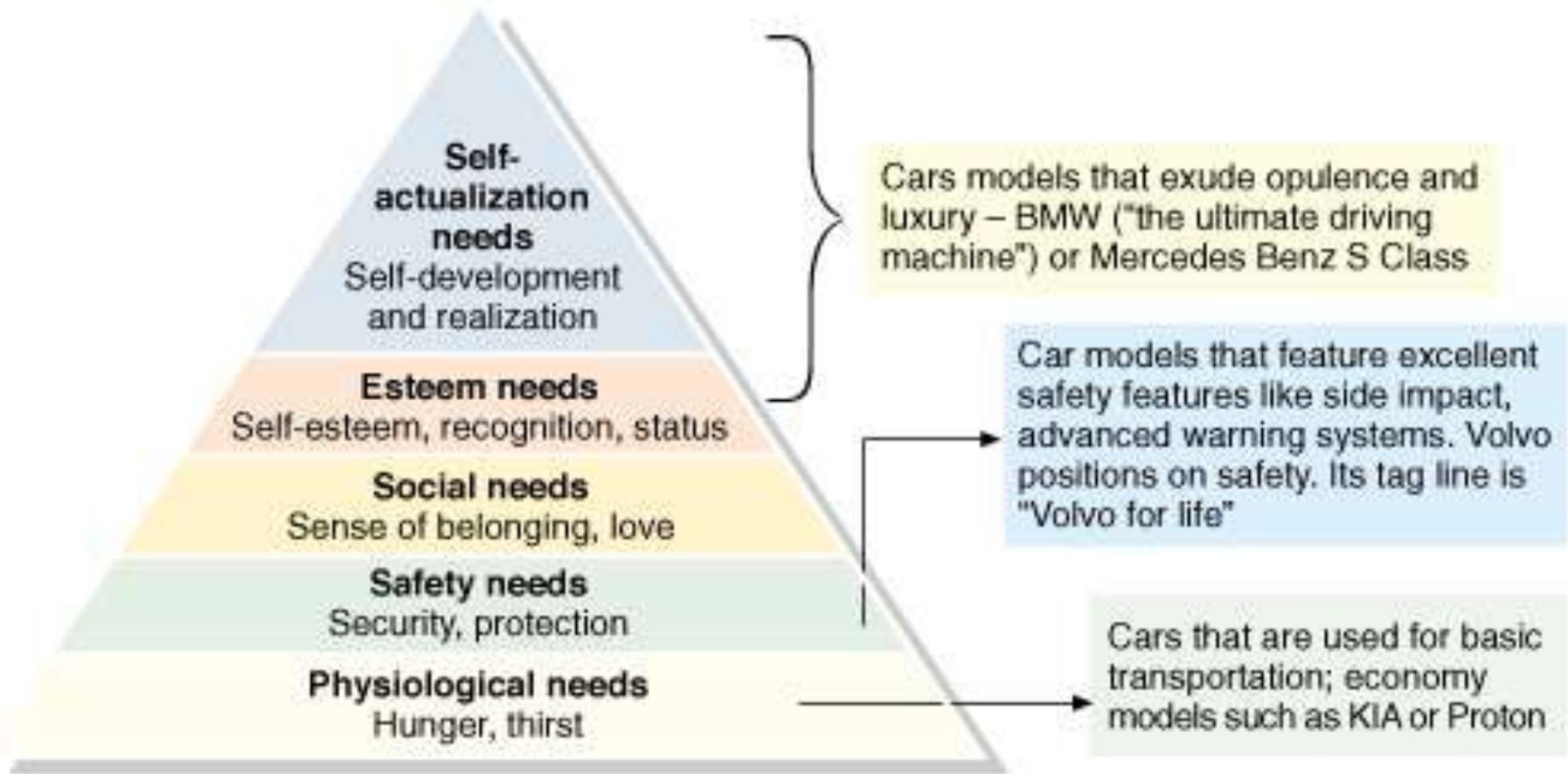
Characteristics Affecting Consumer Behavior

Psychological Factors Motivation

A **motive** is a need that is sufficiently pressing to direct the person to seek satisfaction

Motivation research refers to qualitative research designed to probe consumers' hidden, subconscious motivations

Application of Maslow's Hierarchy of Needs to the Marketing of Cars



Characteristics Affecting Consumer Behavior

Psychological Factors

Perception is the process by which people select, organize, and interpret information to form a meaningful picture of the world from three perceptual processes

- Selective attention
- Selective distortion
- Selective retention



Characteristics Affecting Consumer Behavior:

Psychological factors: Perception

Perception is the process by which people select, organize, and interpret information to form a meaningful picture of the world from three perceptual processes

- **Selective attention** is the tendency for people to screen out most of the information to which they are exposed
 - E.g. noticing ads for cars when you are in the market to buy one
- **Selective distortion** is the tendency for people to interpret information in a way that will support what they already believe
- **Selective retention** is the tendency to remember good points made about a brand they favor and to forget good points about competing brands
 - E.g. I remember good points about Apple iPhone, but forget good points about Nokia

Can you see the three faces?



What are the most important design elements?

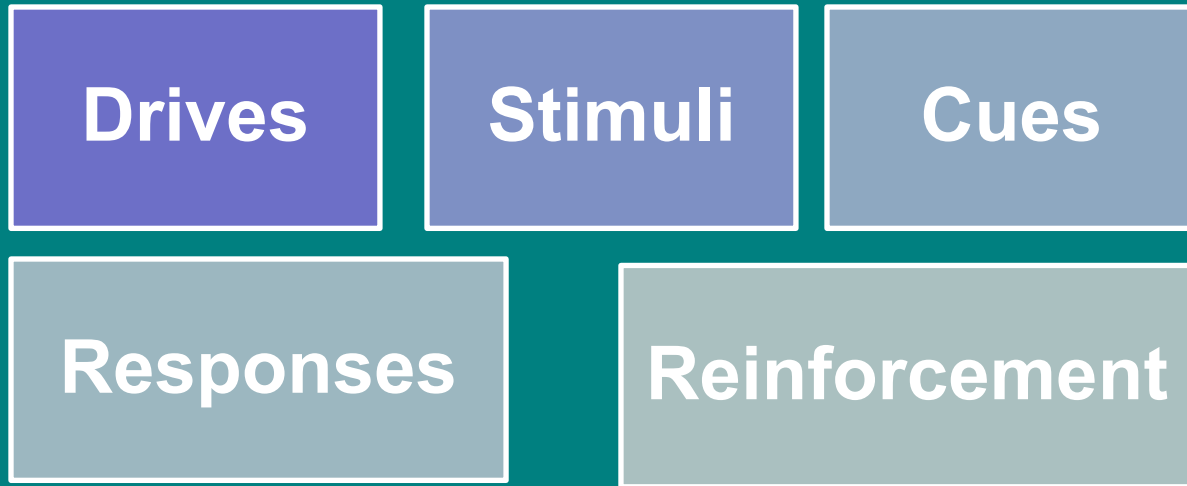
- Interviewees (university students): ‘ The word should be large enough , because no one will pay attention to the small print. They should put important or interesting words on the bottle’.



Characteristics Affecting Consumer Behavior

Psychological Factors

- **Learning** is the change in an individual's behavior arising from experience and occurs through interplay of:



Characteristics Affecting Consumer Behavior:

Psychological factors: Beliefs & Attitudes

- A **belief** is a descriptive thought that a person holds about something based on knowledge, opinion and faith.
 - E.g. I believe that Sony digital camera takes great pictures and costs \$400
- **Attitude** describes a person's consistently favorable or unfavorable evaluations, feelings, and tendencies toward an object or idea. (such as a product, advertisement, salesperson, company)
 - Are action-oriented
 - Very difficult to change a person's attitude

E.g. Fuze fits well with peoples' attitude about health and well-being

Types of Buying Decision Behavior

Complex buying behavior

Dissonance-reducing buying behavior

Habitual buying behavior

Variety-seeking buying behavior

Types of Buying Decision Behavior

Four Types of Buying Behavior

	High involvement	Low involvement
Significant differences between brands	Complex buying behavior	Variety-seeking buying behavior
Few differences between brands	Dissonance-reducing buying behavior	Habitual buying behavior

Types of Buying Decision Behavior

- When consumers are highly motivated in a purchase and perceive significant differences among brands
 - E.g. buying a laptop
- Typically, the consumer has much to learn about the product category.
- Purchasers are highly motivated when:
 - Product is expensive
 - Product is risky
 - Product is purchased infrequently
 - Product is highly self-expressive

Types of Buying Decision Behavior

- **Dissonance-reducing buying behavior** occurs when consumers are highly involved with an expensive, infrequent, or risky purchase, but see little difference among brands
 - E.g. buying carpet, fridge, microwave oven
 - After the purchase the consumer may experience **Post-purchase dissonance**
 - occurs when the consumer notices certain disadvantages of the product purchased or hears favorable things about a product not purchased

Types of Buying Decision Behavior

- **Habitual buying behavior** occurs when consumers have low involvement and there is little significant brand difference
 - E.g. buying rice, sugar, salt
- **Variety-seeking buying behavior** occurs when consumers have low involvement and there are significant brand differences
 - E.g. biscuits, bread

Types of Buying Decision Behavior

- **Class exercise:** What type of buying behaviour would be required for each of the products below:
 - A Lexus car
 - Selecting a university to study at
 - Purchasing a holiday to a new destination
 - Toilet paper
 - Noodles from a supermarket
 - Furniture
 - Mobile phone
 - A hair cut
 - Chewing gum

What should marketer do based on the differences of four types

The Buyer Decision Process

Five stages in the buyer decision process

1. Need recognition
2. Information search
3. Evaluation of alternatives
4. Purchase decision
5. Post-purchase behavior



The Buyer Decision Process

Need Recognition

- Occurs when the buyer recognizes a problem or need triggered by:
 - Internal stimuli
 - External stimuli

The Buyer Decision Process

Information Search Sources of Information

- Personal sources—family and friends
- Commercial sources—advertising, Internet
- Public sources—mass media, consumer organizations
- Experiential sources—handling, examining, using the product



The Buyer Decision Process

Evaluation of Alternatives

- How the consumer processes information to arrive at brand choices



Saundra's College Decision

Attribute	Beliefs (β)				
	Import. (I)	Smith	Princeton	Rutgers	Northland
Academic reputation	6	8	9	6	3
All women	7	9	3	3	3
Cost	4	2	2	6	9
Proximity to home	3	2	2	6	9
Athletics	1	1	2	5	1
Party atmosphere	2	1	3	7	9
Library facilities	5	7	9	7	2
Attitude Score		163	142	153	131

The Buyer Decision Process

Purchase Decision

- The act by the consumer to buy the most preferred brand
- The purchase decision can be affected by:
 - Attitudes of others
 - Unexpected situational factors

The Buyer Decision Process

Post-Purchase Decision

- The satisfaction or dissatisfaction that the consumer feels about the purchase
- Relationship between:
 - Consumer's expectations
 - Product's perceived performance
- The larger the gap between expectation and performance, the greater the consumer's dissatisfaction
- Cognitive dissonance is the discomfort caused by a post-purchase conflict

The Buyer Decision Process

Post-Purchase Decision

Customer satisfaction is a key to building profitable relationships with consumers—to keeping and growing consumers and reaping their customer lifetime value

4Cs

The 4 C's of marketing can be highly beneficial to any marketing strategy. This strategy forces marketers to really understand their target audience before they even begin to develop a product or campaign. This strategy requires communication throughout the entire process, from start to finish, and begins with understanding what the customer wants and needs out of your product/services.



Tutorial-A

4C Practice

Application of the 4Cs marketing mix in the digital environment

Jarad Ghayth (2020)

Reading 

This paper is aimed at investigating the 4Cs marketing mix paradigm in the digital context, centering on the 4Cs model and its application in the digital environment.

1. Each group will be assigned a C to research in relation to the Apple AirPods.
 2. With you group, you will be expected to illustrate all components of your assigned C. starting with a definition and explanation of that C.
 3. Be prepared to present your answer to the rest of the class.
 4. Every member is expected to contribute to the presentation.
- Consider the 4Cs marketing example below

Nostalgia Marketing

4C Practice

- <https://www.spiralytics.com/blog/brands-that-used-nostalgia-to-win-at-marketing/>

Tutorial B

Prepare for group assignment

Working on your assignment

Background: In this activity, you and your group members will work collaboratively on creating and developing enriched content and applications of marketing concepts for a successful assignment submission.

Task:

Work with your group and collaboratively;

1. Determine a preliminary target market for your Kickstarter product - *next week you will work on confirming your target market segment(s)*
 2. Circle back to your assigned Kickstarter site and re-examine your product's features
 3. Circle back to your demand determinants from last week to refresh your memory. This will help you with developing point 4.
 4. Determine your consumer problem based on your customer's wants and needs recognition (the first of the 4Cs)
- Share your responses with your class tutor for feedback
 - Go to your Canvas Group Page and create a new discussion titled "CUSTOMER WANTS AND NEEDS".
 - Post / upload this into your Canvas group page > discussions, once you have finalised all edits.

Modules 3-Tutorial B

Prepare for group assignment

Working on your assignment

Below are instructions to the activity.

Background: In this activity, you and your group members will work collaboratively on creating and developing enriched content and applications of marketing concepts for a successful assignment submission.

Task: Now that we know what influences consumer behaviour, and we are familiar with our Kickstarter products' features, we are ready to communicate value to our customers to influence a positive reaction from them. In the case of your assignment task, the reaction we are looking for is a desire to purchase our product.

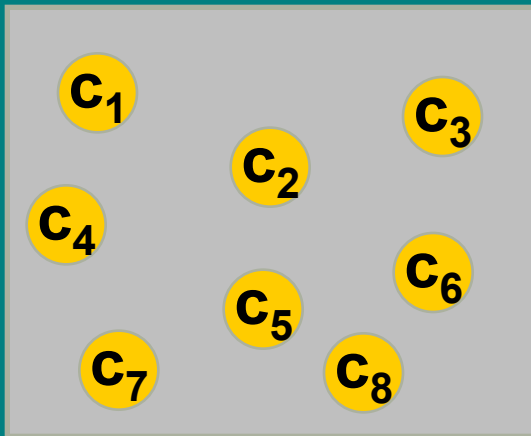
Work with your group and collaboratively;

1. Express your CVP in one singular statement/sentence
- Consider the four different strategies to clearly communicate your CVP
 - Consider the five different categories that customers consider important when developing your CVP

Market Targeting

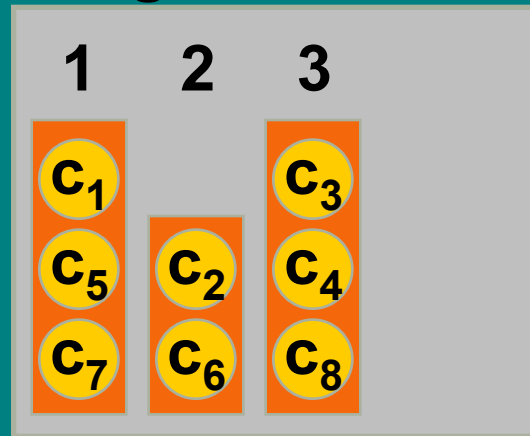
Selecting Target Market Segments

Market



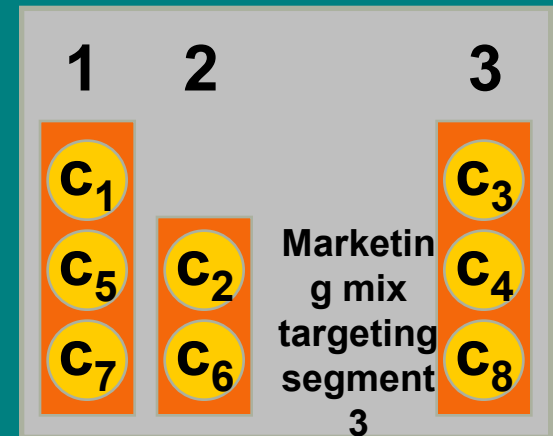
Study consumer characteristics

Segmentation



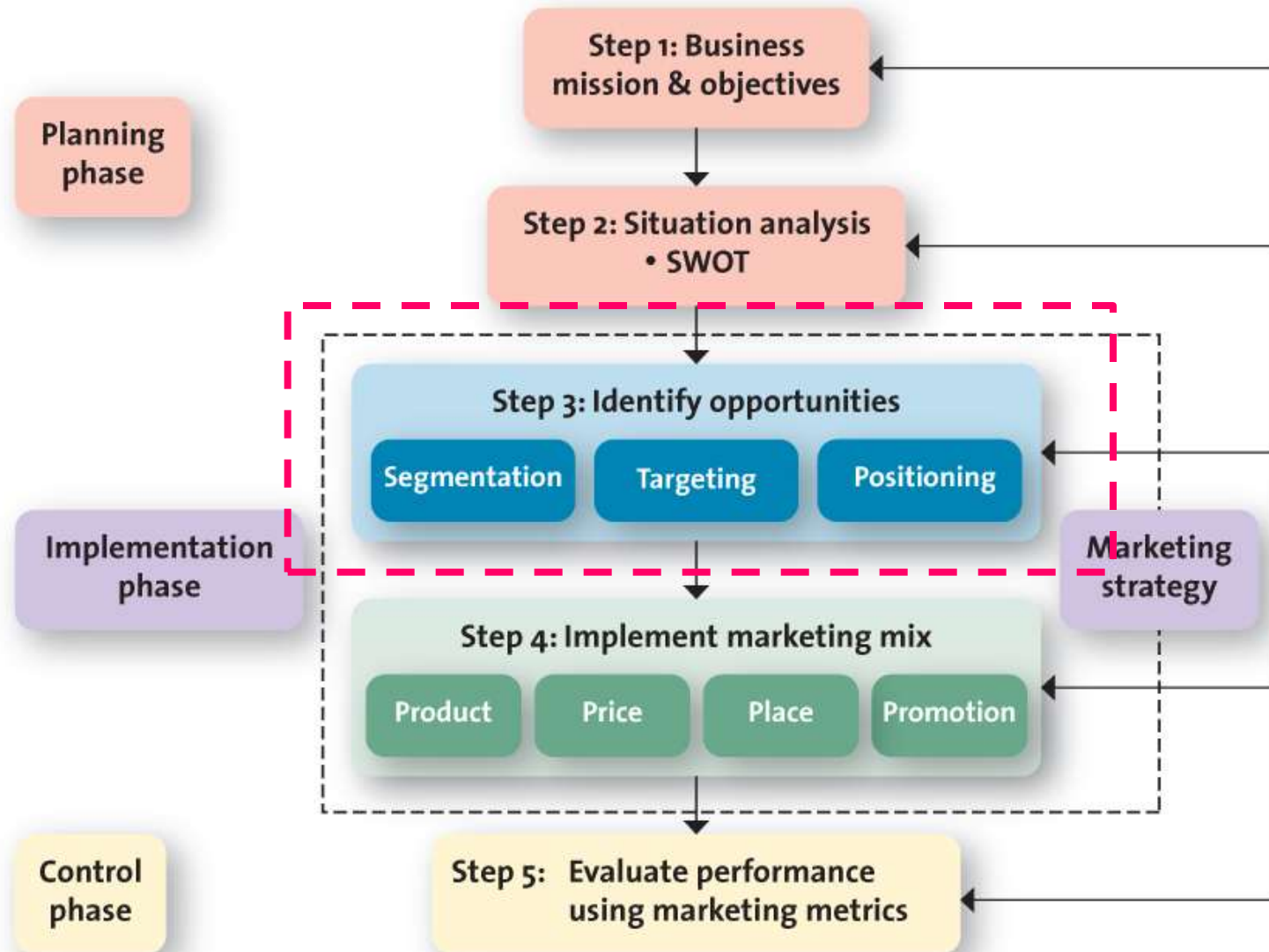
Consumers regrouped by similar characteristics

Targeting



Segment 3 is targeted because:
?

STP

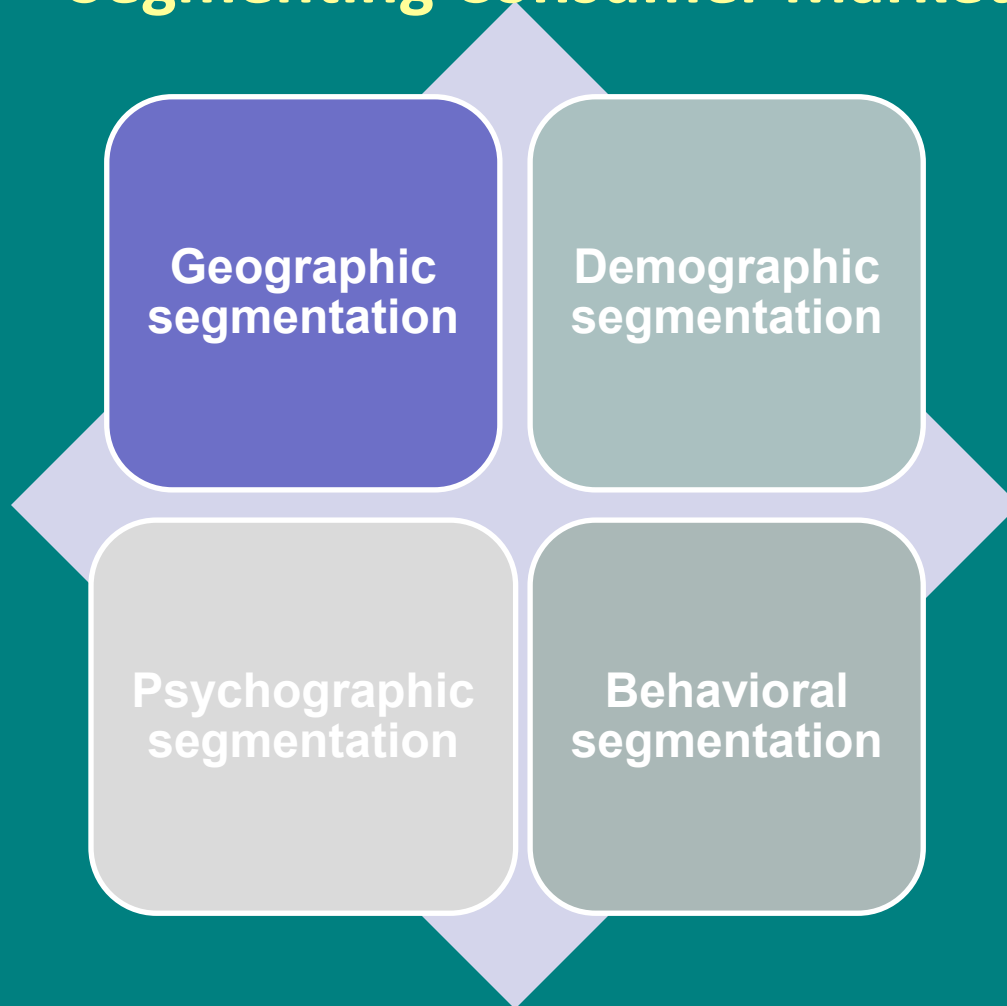


Market Segmentation



Market Segmentation

Segmenting Consumer Markets





美的 Midea

高端家电消费者与美的产品形象提升研究报告

根据家电消费观和消费价值观， 高端家电消费者被划分为以下6类人群



品族－追求生活品质，懂得享受生活的成熟家庭



背景特征	生活状态
• 以偏中青年家庭为主（主要集中在30-45岁） • 有较长时间工作经验和社会阅历 • 家庭月收入较高 • 受过高等教育 • 担任中高层管理人员角色或一些高新科技行业的专业人士	• 事业上小有成就 • 注重生活质量和心灵感受 • 有明确的自我定位和属于自己的品味标准 • 讲究生活品味和生活情趣 • 对事物有清晰的价值观评判

价值观	品牌观念
• 生活价值观：享受现代生活，追求健康悠闲的生活 • 审美价值观：追求时尚更显活力，现代简约是时尚内涵	• 品牌意识：国产品牌基本质量过关，但材质和做工弱 • 美的印象：没有创新，中规中矩的小家电专家



：消费者的数字化画像与识别

Recognize 数字化画像与识别

它的内涵包括消费者画像以及将这些画像放入情境中，有效描述消费者的旅程

对这些元素的有效理解与深入洞察，能帮助CEO和CMO有效理解客户的需求、
痛点、甜蜜点，为之后制定有效的营销战略打下坚实的基础

：概念起源



用户画像 (persona)

20世纪80年代 交互设计之父 艾伦·库珀

□ 用户画像

- 用户画像所描述的是不同的客户群体最显著的差异化特点
- 最核心的功用在于帮助企业明晰是什么因素驱使不同的用户群体购买或使用该企业的产品与服务
- 经常与市场细分的概念合用，代表着某一个细分市场的典型客户

：什么是消费者画像



人口统计 层面

□ 基本信息

- 25岁
- 创业者

行为习惯

□ 行为

- 通过上网来搜索答案
- 针对不同的问题找到专题内容并持续关注
- 会搜索他人的建议以帮助自己找到有用的内容
-

个人兴趣 爱好

- 与朋友合租公寓
- 喜欢发现与学习新事物
- 对新兴公司和新技术感兴趣

相关需求 与目标

□ 需求与目标

- 通过获得可能的答案来缩短学习曲线耗时
- 发现非常有用的内容，以满足好奇心
-

：什么是消费者画像

□ 数字化医疗场景中有六类典型消费者画像



青中年保健
爱好者

典型画像1

- 业务骨干
- 工作压力大
- 网购保健品

典型画像2

- 职场丽人
- 有一定积蓄
- 社交评论红人
- 宠爱自己



银发
养生族

典型画像1

- 退休工人
- 微信忠实用户
- 随手转发健康文章

典型画像2

- 退休阿姨
- 钻研保健品
- 易被广告吸引
- 儿子协助网上购药



宝妈

典型画像1

- 二胎全职妈妈
- 10+个育儿微信群
- 易被种草

典型画像2

- 白领妈妈
- 女儿易生病
- 带女儿看病
- 重便捷和时效



青中年轻
急症患者

典型画像1

- 中年男性
- 吃坏肚子
- O2O平台购药

典型画像2

- 男大学生
- 运动后肌肉拉伤
- 懒得去医院
- 网上自购药



慢病患者

典型画像1

- 关节炎患者
- 疾病意识高
- 自主搜索疾病知识

典型画像2

- II型糖尿病患者
- 患病13年
- 处方药线下买
- 注射针头线上购



重疾患者

典型画像1

- 肺癌患者
- 患病5年
- 病友群联系紧密

典型画像2

- 乳腺癌患者
- 患病3年
- 跨区域线上寻名医
- 不同治疗方案

：什么是消费者画像

定义：数字化画像与识别指的是用数字化的技术表述消费者的各种特质以及这种特质在实践和场景下的集合，帮助营销管理人员精确定义目标消费者，并在此基础上设计营销战略。

Differentiable

- Who is in their market?
- Are the segments unique?
- Does each segment require a unique marketing mix?



Market Targeting

Selecting Target Market Segments



“After a company has defined market segments, it can enter one or many segments of a given market.”

“A company should target segments in which it has **a differential advantage** over its competitors;

where it can generate **the greatest customer value** and sustain it over time”



Market Targeting

Choosing a Targeting Strategy

Depends on:

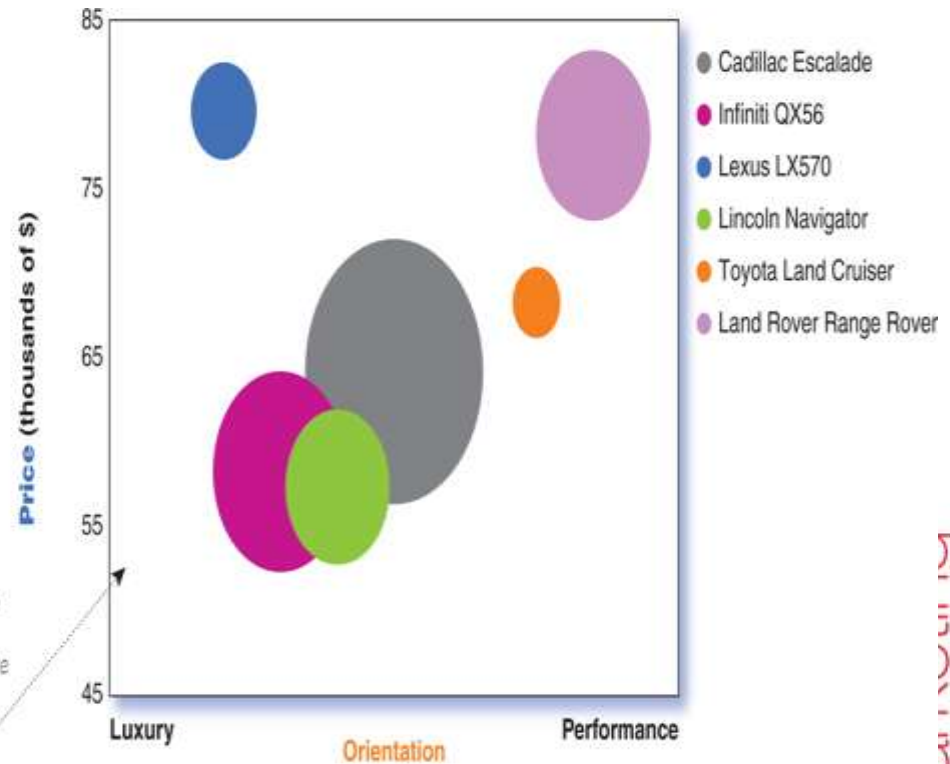
- Company resources
- Product variability
- Product life-cycle stage
- Market variability
- Competitor's marketing strategies



Differentiation and Positioning

Positioning maps show consumer perceptions of their brands versus competing products on important buying dimensions

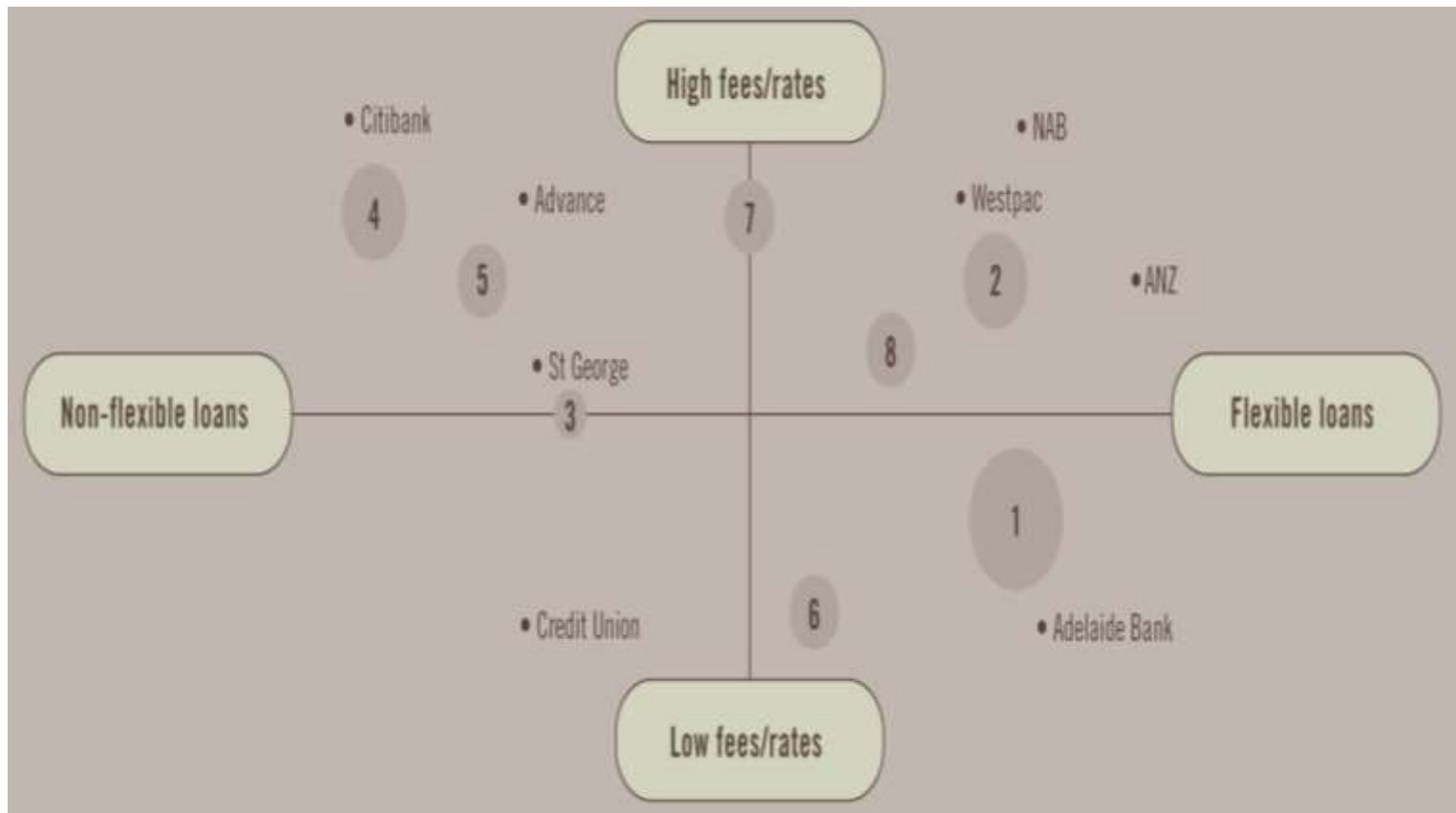
The location of each circle shows where consumers position a brand on two dimensions: price and luxury-performance orientation. The size of each circle indicates the brand's relative market share in the segment. Thus, Toyota's Land Cruiser is a niche brand that is perceived to be relatively affordable and more performance oriented.



Source: Based on data provided by WardsAuto.com and Edmunds.com, 2012.



The **perceptual map** shows how the different brands are currently positioned relative to each other on those attributes that consumers use to distinguish between their offerings.



Differentiation and Positioning

Choosing a Differentiation and Positioning Strategy

Identifying a set of possible competitive advantages to build a position by providing superior value from:

Product differentiation

Services differentiation

Channel differentiation

People differentiation

Image differentiation



大白兔奶糖主要受到外资品牌和其他糖果品类的冲击

-品牌形象篇-

【竞争品牌分析】

图：大白兔主要竞争品牌定位图



大白兔奶糖受到大量外资品牌的冲击以及薄荷糖和棒棒糖等糖果品类分流。

其中竞争品牌的主要特征为口味和品类多样化以及包装创新化。

注：“创新、经典”是从访谈中提炼的维度，“本土、全球”是根据品牌定位提炼的维度。

Differentiation and Positioning

Selecting an Overall Positioning Strategy

- **More for More** positioning involves providing the most upscale product or service and charging a higher price to cover the higher costs.
- **More for the Same** positioning involves introducing a brand offering comparable quality but at a lower price.
- **The Same for Less** positioning can be a powerful value proposition—everyone likes a good deal.
- **Less for Much Less** positioning is offering products that offer less and therefore cost less.

Tutorial 3-Working on your assignment - Segmentation application

Below are instructions to the activity.

Background:

Last week you and your group members would have determined a preliminary target market for your Kickstarter product.

In this activity you will re-evaluate your target market and use research to determine and describe your market segments/ variables and strategic considerations for your Kickstarter product.

Task:

Work in your group and collaboratively;

1. Identify your target market segments and provide at least 2 descriptions to each of the segmentation variables. (Make sure to support your descriptions with evidence of research)
- Share your responses with your class tutor for feedback
 - Go to your Canvas Group Page and create a new discussion titled "TARGET MARKET SEGMENTS".
 - Post / upload this into your Canvas group page > discussions, once you have finalised all edits.

Working on your assignment - Positioning application

Below are instructions to the activity.

Background: In this activity you will consider your Kickstarter product and determine your market position.

Task:

Work in your group and collaboratively;

1. Determine what your positioning will be for each segment you may have identified.

(Tip1: consider the positioning variables to accentuate your USP/ competitive advantages)

(Tip2: circle back to your CVP and ensure they are correlated)

- Share your responses with your class tutor for feedback
- Go to your Canvas Group Page and create a new discussion titled "MARKET POSITIONING".
- Post / upload this into your Canvas group page > discussions, once you have finalised all edits.

Duration: 25 minutes